

Equity Research Report

Jubilant FoodWorks

Declining LFL growth, Capex on line.

About the company

Jubilant Foodworks Ltd (JFL) incorporated in 1995 is part of Jubilant Bhartia Group and is one of India's largest food service company. It also became the first QSR company to launch dedicated regional menu. It has exclusive franchise rights from Domino's Pizza Inc to operate Domino's Pizza brand in India, Sri Lanka, Bangladesh and Nepal. The company also has exclusive rights to operate Dunkin' restaurant in India and Popeyes restaurant in India, Bangladesh, Nepal and Bhutan. Jubilant even has its own - restaurant brand named 'Hong's Kitchen' which operates in Chinese cuisine segment. Presently it has 22 restaurant of Hong's kitchen spread across 4 cities. Besides this company has shut down two of its business, i.e., ChefBoss and Ekdam in FY23.

Jubilant focuses on value proposition that is serving their customer with the best quality and in this current financial year they had promised to deliver the pizzas to customer within 20 minutes and this strategy till present has worked efficiently in Bangalore. Besides this. Company also has a tie-up with IRCTC wherein customers can order hot pizza's to be delivered on their seat in the train at the pre-selected stations through their Domino's app. This service is currently available in 143 railway stations.

The company has also introduced a loyalty program named Cheesy rewards where after ordering 6 pizza and earning the required points they'll get one pizza for free. This program has led to attraction of new customers as well to their stores.

Key Highlights

- The top line growth was at 17% in FY23 as compared to 33% in FY22 and on QoQ basis, Jubilant posted growth of 3% in Q3FY24.
- The bottom line on YoY basis showed a decline of 16% (down by 65 bps m) in FY23 and on QoQ basis in Q3FY24, it showed a decline of 18% (down by 31 bps).
- The company's gross margins have been around 76% for over the past 5 years and it is expected to improve as soon as inflation comes down a little.
- On the other hand, EBITDA margins over the years have been around 23-24% and management thinks that the biggest unlock for EBITDA margins is going to be LFL growth. Additionally, management has given guidance of improvement of about 150 to 200 bps in the margins and then they are expecting it to be stable around these levels only.
- Opened 73 stores of Dominos in H1 and planning to meet the target of opening 200+ Domino's stores in FY24.
- Jubilant is targeting to re-image 100+ stores by end of FY24.
- The company has started working on Mumbai commissionary. This is going to be the third mega commissionary after Greater Noida and Bengaluru. Moreover, the commissionary that are going to be setup after this will be of a much lower capex.
- By Q3FY24, Jubilant has opened more than 2000 stores and are now eyeing towards its ambition of taking the tally to 3000 stores.

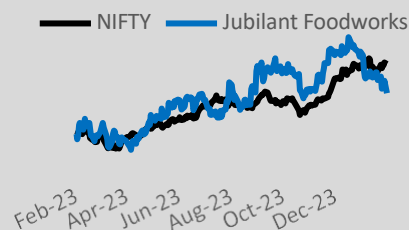


Recommendation	: XXX
CMP	: INR 479
Target	: XXX

Stock Data (as on Feb 6, 2023)

NIFTY	: 21908.5
52 Weeks H/L (INR)	: 586.9/412.10
Market Cap (INR Crs)	: 31,580
O/S Shares (Crs)	: 65.98
Dividend Yield (%)	: 0.25
NSE Code	: JUBLFOOD

Relative Stock Performance – 1Y



Absolute Returns (%)

1 Year	: 7.94%
3 Years	: -12.77%
5 Years	: 85.42%

Shareholding Pattern (as on Dec, 2023)

Promoters	: 41.9%
FII	: 27.8%
DII	: 22.1%
Public	: 8%

Financial Summary

IN INR Crs	FY23	FY24E	FY25E
Net Revenue	5,158.3	5,932.0	6,821.8
YoY Growth (%)	17%	15%	15%
EBITDA	1,136.0	1,325.0	1,532.0
EBITDA Margin (%)	0.2	0.2	0.2
PAT	353.0	434.5	498.5
YoY Growth (%)	-16%	23%	15%
ROE	0.2	6.7	8.8
EPS (in INR)	5.4	6.1	9.4
EV/EBITDA	27.58x	32.50x	28.80x

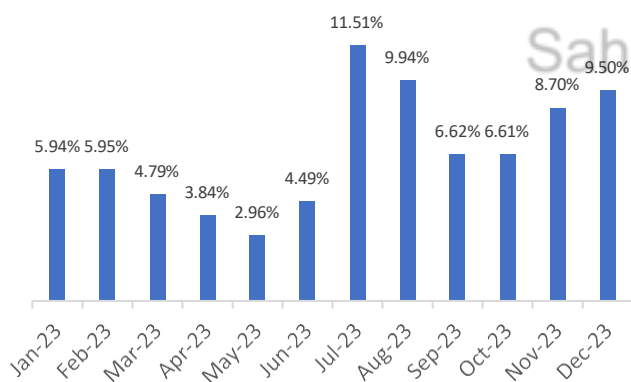
Prepared by : Sahil Gupta

Global Economy

The global economy grew up to some extent post covid. However, geopolitical tensions, continued supply chain dislocations and climate crisis resulted in inflation and further led to volatile commodity and energy prices. As per IMF estimates, global GDP growth slowed down to 3.4% during FY22. Growth in Advanced economies fell sharply to 2.7% in FY22 as compared to 5.4% in FY21 whereas on the other hand, Emerging markets and developing economies grew at a relatively slower pace of 4% vs 6.9% in FY21. Going forward, it is expected that Russia - Ukraine war can have some more negative impacts on the world economy. Thus, global growth is projected at 3.1% in FY24 and 3.2% in FY25 and advanced economies like the United States and Euro Area are expected to grow at a slower pace.

Source – IMF WEO, MDA

India Food Inflation (%)



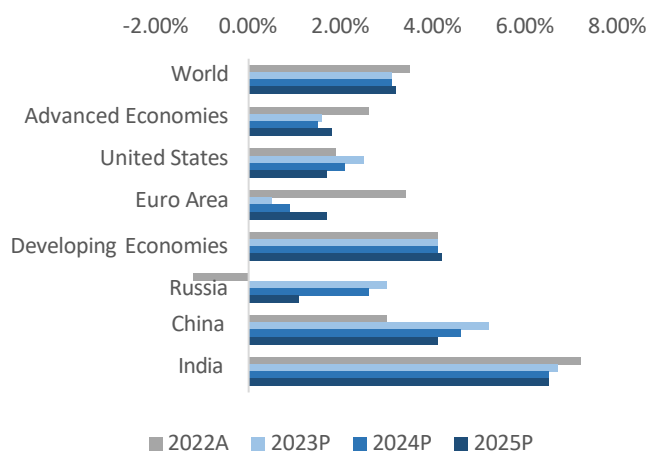
Source – tradingeconomics

Sri Lanka and Bangladesh Economy

Even before the onset of covid-19 pandemic Sri Lanka's growth potential had fallen from 5% to 3%. 2022 was a tough year for Sri Lankan economy as real GDP contracted sharply by 7.8%. The policy rates were hiked to rein in inflation, taxes were increased, and public spending was cut to reduce fiscal deficit. Besides the monetary and fiscal corrections, the economic activity is now showing signs of recovery. Tourists' arrival have started picking up. The approval of IMF loan under the Extended Fund Facility aims at bringing macroeconomic stability. Bangladesh's economy grew at 6.9% and 7.2% in FY21 and FY22 respectively. The currency depreciation against US dollar is further expected to fuel inflationary concerns. The GDP growth in Bangladesh is expected to be at 6.5% in FY23.

Source – MDA,

Global GDP Projections (%)



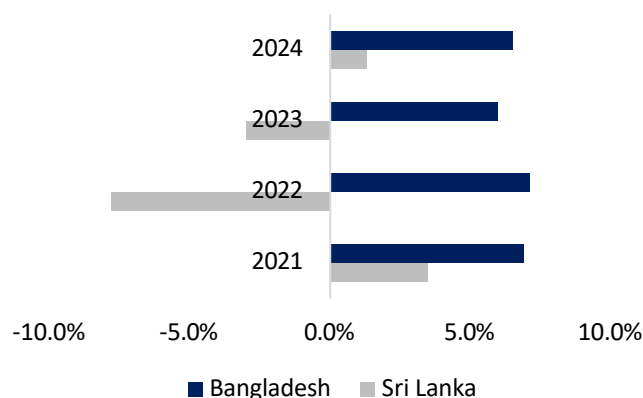
Source – IMF WEO

Indian Economy

The Indian Economy grew by 7.2% in FY23. The growth behind the economic expansion was growth in private consumption, exports and investments. On the supply side, services continue to be the key driver of growth for the economy. Besides this, there were some events as well which significantly impacted the economy in negative terms such as Russia - Ukraine war which led to an increase in prices in energy and commodity markets. Apart from this, the inflation also rose to 5.69% in December 2023 from 5.55% in November 2023. The food inflation also saw a rise from 8.7% to 9.5%. Prices increased the most for vegetables (27.6%) followed by pulses (20.7%) and spices (19.7%). Despite all these shocks the Indian economy remains resilient and is expected to be the fastest growing economy in the world in FY24.

Source – tradingeconomics

GDP Growth Rate (%)



Source – adb.org

Jubilant FoodWorks

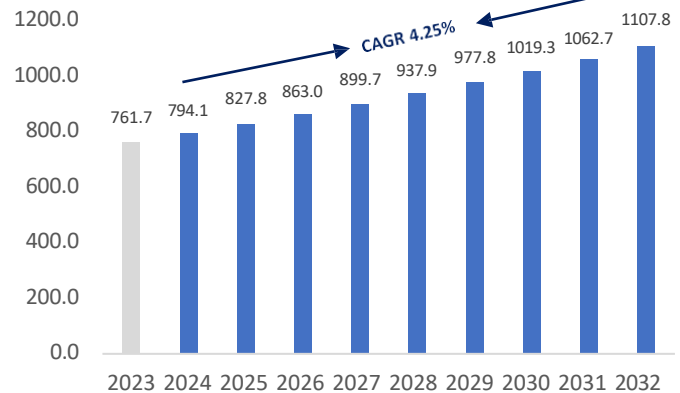


Global FMCG sector

The global FMCG sector reached US\$761.7 billion in 2023. It is further expected to reach US\$ 1107.8 billion exhibiting a CAGR of 4.25% during FY2024-FY2032. The major factors that are driving the growth of global FMCG market are - i) Increase in population which is directly proportional to increase in consumption of consumer goods. ii) Rapid launching of new products in the market which increases the demand in overall FMCG sector. iii) Increase in disposable income of middle-class population which significantly drives the growth of the FMCG market. iv) Adoption of new lifestyle and change in consumer preferences and tastes also drives the growth. v) Moreover, the advertisement by brands to establish their credibility in the market also acts as a booster for the growth of FMCG market.

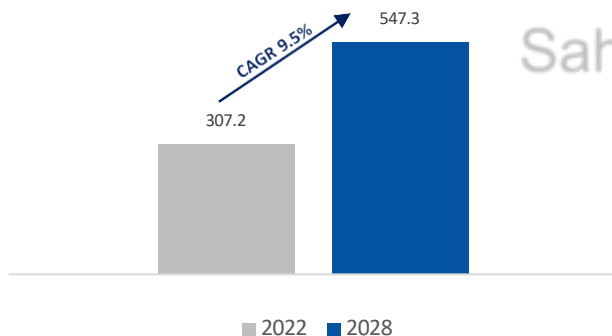
Source – imarcgroup, scribd

Global FMCG Market Size Market Size (Units in Mn dollars)



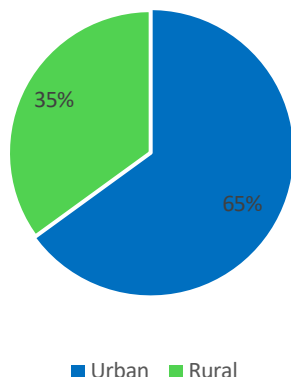
Source – imarcgroup, scribd

Indian FMCG Market Size (Units in trillion dollars)



Source – IBEF

Segment Wise Distribution



Indian FMCG sector –

FMCG sector is the fourth largest sector in the Indian Economy. The urban segment accounts for 65% of the overall revenue generated by the FMCG sector whereas on the other hand rural segment accounts for 35% and is comparatively growing at a faster pace than urban segment. The GST launched in 2017 has proved to be beneficial for the FMCG sector as rates on food products have been reduced to 0-5%.

Indian food processing market size reached US\$ 307.2 trillion in 2022 and is expected to reach US\$ 547.3 trillion by 2028, exhibiting a growth rate (CAGR) of 9.5% during 2023-28. Besides this, FMCG sector grew 7.5% by volumes in April-June 2023 quarter which is highest in the last 8 quarters.

With the rise disposable income of citizens, mid and high-income consumers in urban areas are now shifting from essential to premium products. Thus, FMCG companies have a huge headroom to grow their products portfolio in premium segments. Moreover, digitalization is also going to play a major role in growth of FMCG sector as nowadays people often prefer ordering food at their place rather than dining out and the impact of this has already been seen in most of FMCG companies dine in sales.

Govt has taken some major initiatives to promote the growth of FMCG sector in India such as Rs 2,15,960 crores has been allocated to the Department of Food and Public Distribution, government PLI scheme gives companies a major opportunity to boost exports with an outlay of US\$ 1.42 billion. Additionally, there was a robust FDI inflow of 18.19 billion dollars in FY20 in FMCG sector.

Source – Grow, IBEF, Equity Master, stockholding

Pestel analysis of FMCG sector-

- **Political Factors** - The FMCG sector is dependent on most of the political factors such as any disruption in political stability has a negative effect on FMCG sector, for example, the recent Russia-Ukraine war had a significant impact on the supply of corn to China which is a core ingredient for some of the FMCG items. Government policies related to tax and trading are also some factors which influence the FMCG sector.
- **Economic Factor** - Factors like inflation have a negative impact on the FMCG market . It increases operational cost of FMCG firms which in turn increases the price of the product, which further leads to decline in sales of the products.
- **Social factors** - The rising population creates an opportunity for the FMCG market to grow. However nowadays change in consumer tastes is changing at a faster pace and for this FMCG firms must keep bringing new and innovative products in the market. Additionally, consumers nowadays are shifting to health-conscious products, so FMCG firms must keep this in mind as well while launching new products .
- **Technological Factors** - Technology also plays an important role in the FMCG market. Nowadays, consumers prefer online ordering more so adaption of technology is a must for firms to meet the consumer needs. Moreover , by making use of such technology it becomes easier for firms to keep a proper check on their inventory levels.
- **Legal factors** - The food quality laws must be followed by FMCG sector to continue with operations. If the food being processed, packaged and delivered are adulterated then they have to be immediately removed. Furthermore, the FMCG firms are expected to follow the licensing and permit requisites to operate in the retail segment.
- **Environment factors** - Environmental factors must be also kept in mind while producing the products. FMCG firms must keep in mind that they do not harm the environment in any way therefore they choose such suppliers that are engaged in sustainable business practices.

Source – freepestelanalysis

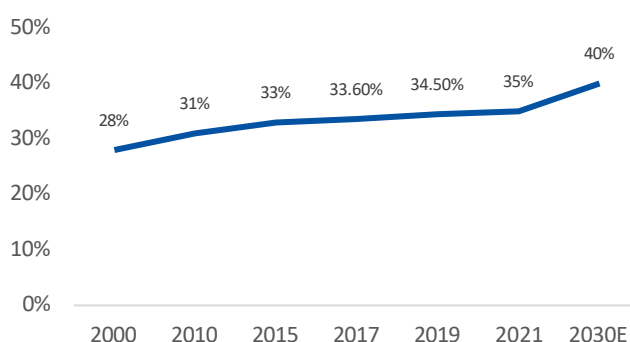
Food service industry

The food service industry in India is expected to grow at a CAGR of 9% for the next few years. India's QSR per capita consuming is low , thereby giving a huge headroom for growth. Key drivers of growth are –

- **Consistent rise in per capita income** - India' share of domestic consumption, measured as private final consumption expenditure in GDP was ~60% in FY23. Moreover, India has been a consumption led economy for years and is going to be same for coming years as well. The per capita income has grown at a CAGR of 9.6%. This rate of growth is expected to give a major boost to discretionary spending. Additionally, the rising population of India also serves as an additional point of growth for Food service industry.
- **Demographic tailwinds** - There are several demographic tailwinds as well that will contribute to the growth of food service industry as well. First is the rising urbanization. As per UN estimates around 416 million people will be added to India's urban population between 2018 to 2050, thereby translating a growth of about 40% urbanization by 2030. The second is rural spending, that is , as and when rural spending increases , food service industry will boom as there will be more demand from the bottom.

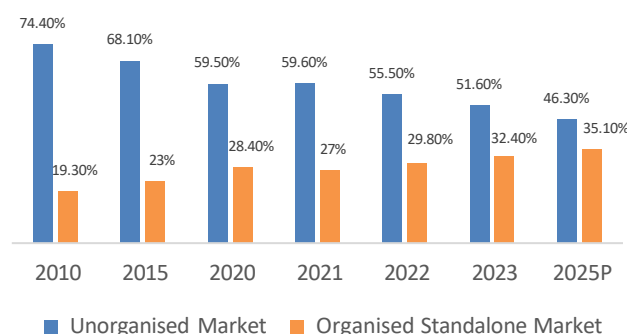
Source – Company Analysis, AR

Increasing Urbanization Trend



Source – World Bank

Food Service Market Share



Source – Technopak Analysis

Jubilant FoodWorks



QSR Industry

Quick Service Restaurant (QSR) is a fast-growing segment in India. The QSR market in India was valued at INR 171.90 Bn in FY22. It is expected to reach INR 436.2 Bn by FY27, expanding at a CAGR of ~20.47% during the period FY2022 - FY2027. QSR has gained popularity in recent times due to growing habits of eating out without even any occasions. This trend is most common among the age group of 25-40 years. Additionally rapid urbanization due to increase in population and rising disposable income of people have led to the penetration of eating out culture in the country.

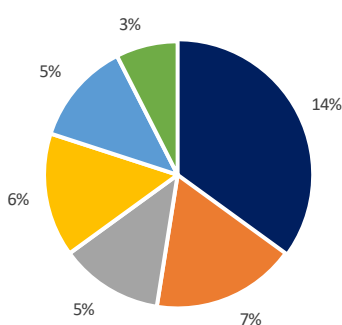
The domestic QSR industry is planning to do an aggressive capex over the medium term. Majority of the capex is going to be funded through internal accruals. There is going to be an addition of about 2300 stores between FY23-FY25 with an estimated capex of about Rs 5800 crores.

The major players in the QSR industry are Jubilant FoodWorks, Devyani International, Westlife food world etc. They all have been performing well over the years by tapping into all possible opportunities they see but in the current financial year they have seen hit on their margins mainly due to rising inflation in raw material prices.

The global QSR market size was estimated at US\$ 283.8 billion in 2022 and is expected to reach US\$ 445.6 billion by 2030, growing at a CAGR of 5.8% from FY2022 to FY2030. The QSR market in India is segmented into Dine-in, takeaway and delivery out of which takeaway and delivery is expected to grow at a much faster pace than dine-in. The takeaway segment is expected to capture a market share of ~21.25% whereas delivery segment is expected to capture ~40.81% market share.

Source – Statista, Research and markets, QSR thematic report

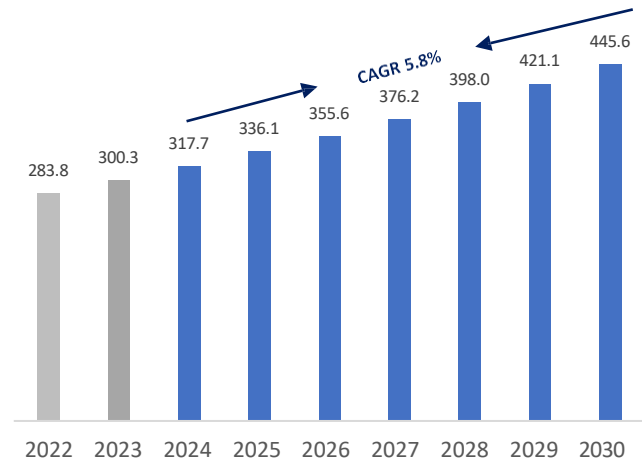
Key Players - Market Share



- Jubilant Foodworks
- Devyani International
- Westlife Development
- Sapphire Foods
- Restaurant Brand Asia
- Barbeque-Nation

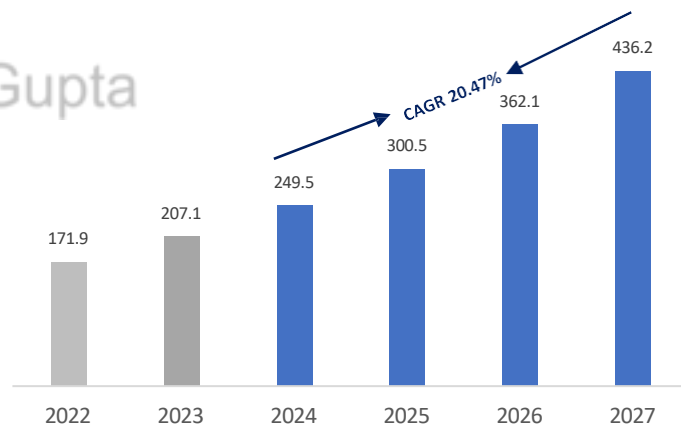
Source – Bonanza Research

Global QSR Market (Units in US\$ bn)



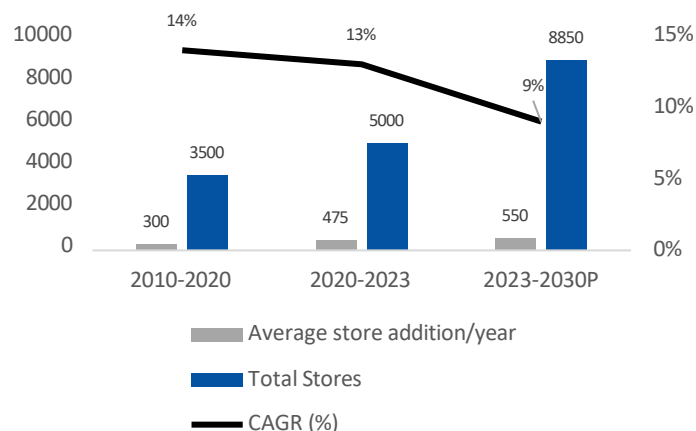
Source- CMI

Indian QSR Market (Units in INR bn)



Source- Statista

QSR Industry Store Expansion



Source- QSR thematic report

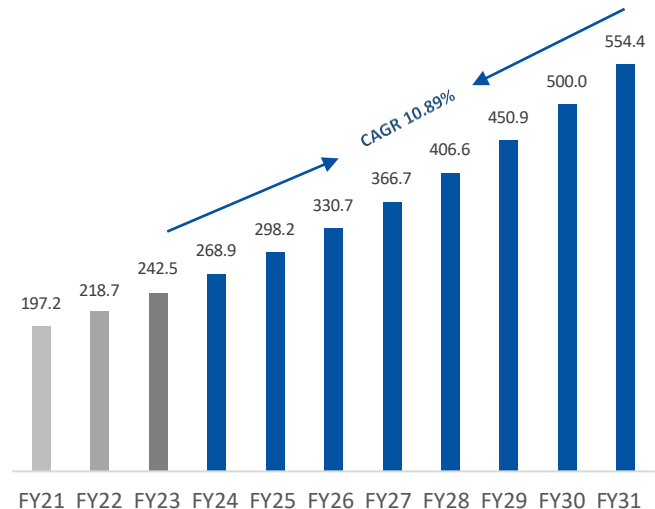
Global Pizza Industry

The Global Pizza Market size was US\$ 197.2 billion in FY21 and is expected to reach US\$ 554.4 billion by FY2031 exhibiting a CAGR of 10.89% during this period. The increasing pizza consumption in developing countries is driving market growth. In developing countries like India, China, South Africa, factors like consumer per capita income and urbanization which are increasing are contributing to the growth of the market. Rising popularity of online ordering of pizza and other food products is also adding to the growth of the market. In today's world citizens without going to the store can order the food of their choice through digital apps and due to this it has become the need of the hour for companies to adapt to the new technology. The global frozen pizza market in FY2020 had an estimated size of US\$ 16.2 billion and is now predicted to grow to US\$ 23.3 billion with a CAGR of 5.3%.

United States is expected to hold a major market share of over 79.5% within North America by 2033. In 2022, United States has already captured a share of about 17.2% in the global market.

Source – Business research insights, Statista, Technavio

Global Pizza Market Size (Units in US\$ bn)



Source – Business research insights

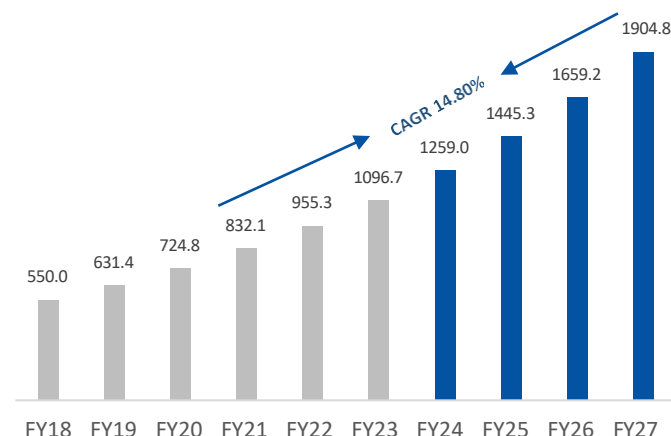
Indian Pizza Industry

Pizza originated in Italy but has today become the go-to dish for most of the citizens. It has become one of the most selling fast-food products by any FMCG firm. Dominos has captured the major chunk of this pizza market. The Indian Pizza Market is projected to grow at a CAGR of 9.63% during FY2024-FY2032. The increased demand for pizza in India in recent years has opened the gateway for many competitors. The factors driving the growth of the pizza market in today's world are the changing lifestyles of citizens and steady growth in their income. Additionally, the widespread adoption of Western dietary habits among Indians is also positively impacting the market. Key players in the industry are focusing on capturing the market share by doing endorsements by celebrities and moreover to attract more customers they are providing heavy discounts too.

Furthermore, the frozen pizza is also growing at a rapid pace due to ease of making it and storing it easily, this in turn is also contributing to the overall growth of the pizza market. The Indian Frozen Pizza Market was valued at US\$ 550 million in 2018 and is projected to reach US\$ 1904.8 million by 2027, exhibiting a CAGR of 14.8% during the year between 2021 to 2027.

Source – Business market insights, imarcgroup, globenewswire

Indian Frozen Pizza Market Size (Units in US\$ mn)



Source – Business market insights

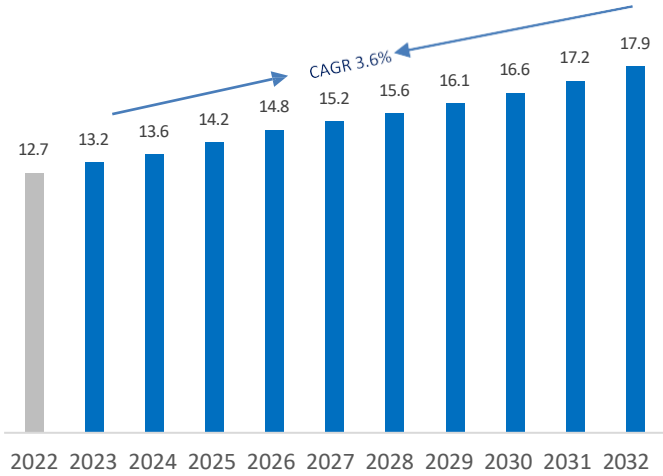


Global Doughnut Market

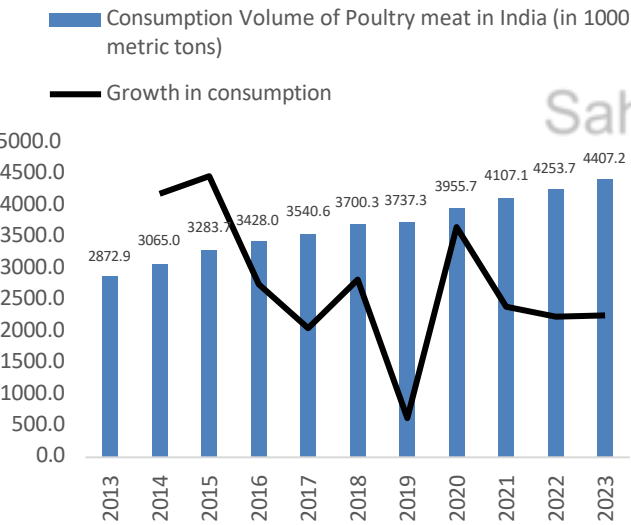
Doughnut market size was valued at US\$ 12.7 billion in 2022 and is expected to reach US\$ 17.9 billion in 2032 while growing at a CAGR of 3.6%. In recent years, the Doughnut market has expanded exponentially. The factor contributing to the growth of this market is the rise in cafes and bakeries. People at cafes often prefer ordering doughnuts along with coffee. The doughnut market is mainly driven by the rise in consumption of snacks. The yield doughnut segments account for maximum share in the market due to its puffy and light texture. North America is expected to experience the highest growth in this market due to their growing habit of eating ready to eat food.

Source – marketresearch, Technavio

Global Doughnut Market Size (in billion US\$)



Source – market.us



Source – Statista

Poultry market

The Indian poultry sector has grown immensely over the past decade and this growth pattern is expected to be continued in the coming years as well. The Indian poultry market in FY23 valued at US\$ 30.46 billion and is expected to grow at a CAGR of 8.1% during the period 2024 to 2032. Therefore, in FY2032 it is expected to be valued at US\$ 61.41 billion. The major drivers of this industry are rising disposable incomes, growing consumption of baked products, the increasing intake of protein-based food products etc. In FY23-24 domestic poultry market is expected to grow around 8-10% .

The global chicken market is expected to be valued at US\$ 429.11 billion by 2028. Easy availability of ready chicken products, rising internet penetration and increase in consumer spending capacity are driving the growth in the global poultry market.

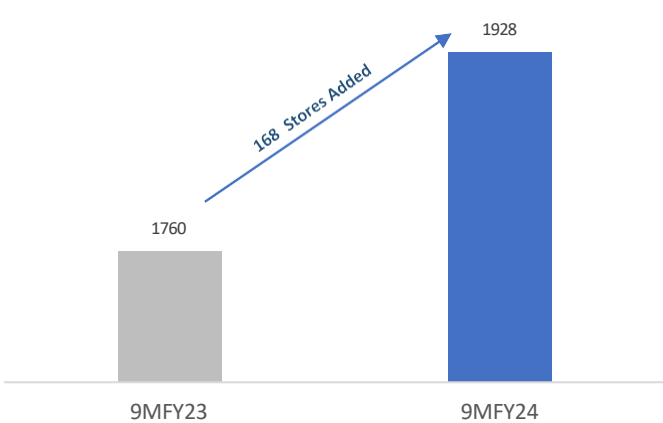
Source –expert market research, research and markets

Domino's business

Jubilant Domino's business is growing at a faster pace than its other business. Jubilant added 250 new stores this year and has taken the tally to a total of 1800+ stores. Moreover, seeing the growing QSR market in India and trying to capture this market , the company is constantly focusing on opening new stores. Company has a fortressing strategy wherein when a mature store breaches a set threshold and customer KPI starts suffering , it looks at splitting the mother store and open another store in the vicinity. In this way, it can serve the unmet demand, thereby generating stronger revenue growth, stronger EBITDA growth and thus a stronger consumer experience.

Source – Company analysis, MDA

Domino's India Network



Source – Q3FY24 Investor Presentation



JUBILANT
FOODWORKS

Jubilant FoodWorks

Quarterly Results Analysis – Q3FY24

- Jubilant Foodworks Netherlands (JFN) BV. has acquired the remaining stake in DP Eurasia and now has a holding of 79.02% in it.
- The company has crossed the milestone of 2000+ stores and is now focusing on its further expansion plans.
- The company witnessed uptick in sales during the world cup and Diwali and other festive but after that, that is post November the demand remained softer. Jubilant focused on combo sales thereby resulting in the highest ever ticket size in the last 9 quarters with no increase in prices.
- The management expects the current slowdown in demand is due to impact of inflation.
- Jubilant has commissioned a food park in Bangalore and the returns from this is expected to be witnessed within 4 years. This food park is going to serve 750+ Domino's stores and 300 stores of Popeye's, Hong's kitchen and Dunkin.
- Delivery sales continued to increase as the company was able to serve 70% of customers by delivering their orders within 20 minutes. to win the share of occasions such as birthday Moreover, party and attract younger generations towards the store the company have launched an initiative - "It happens only with Pizza".
- The MAU stood at 10.5 million and customer conversion was the highest ever as the company launched better experience on coupon application, cart and payments.
- Inflation is moderated but food inflation is still not negative. Secondly there is inflation in wages as well.
- EBITDA margins are not increasing by those 300 to 400 bps that used to increase pre-covid. The reason behind this is the decline in the LFL of 300 bps.

- Cheesy rewards enrolled customer base grew by 102.8% YoY. Moreover, 40 new stores added for dominos and now company is on the track to open 200 stores in CY24. Management is confident of making Popeyes India , the fastest QSR to hit revenue of Rs 1000 crores.
- LFL stood at -2.9% this quarter and the reason behind this is the decline in LFL of dine-in.
- The delivery segment continues to grow faster as compared to dine-in . However, management continues to focus on re-imaging stores and expects that as soon as the consumption starts increasing and inflation comes down, they are going to witness a positive dine-in growth leading to a surge in overall growth.
- Management is focusing on heavy capex models for their commissionaires rather than tying up with multiple vendors to build their supply chain
- The company did not open more split stores due to less dine-in and management says that if there would have been LFL of around 4-5% they would have added 25-30 stores per split.
- Down trading on pizza sales have stopped and thus this was the reason the company witnessed the highest ticket size in the last 8 or 9 quarters. For this down trading management took some initiatives such as –
 - Re-launched Viva Roma Range of Gourmet Pizza.
 - Properly targeted discounts that are giving discounts to only those customers who are seeking for it.
 - Launch But 2 Get 1 pizza scheme for the first time.
- 4 new stores has been added for Hong' kitchen and management at current moment is not planning to open the stores of Hong's as a pace of that of Domino's because they first want throughput per store of Hong to increase and then maybe going forward, they may even adopt franchisee model and for the similar reason they have acquired DP Eurasia.

Management Analysis

S.no	Name	Designation	Profiling	Political Nexus	Remuneration during FY23 (in millions)	Ratio to median remuneration
1	Mr. Shyam S. Bhartia	Chairman & Director	over four decades of experience, Mr. Bhartia is a thought leader in his chosen areas of diverse businesses which include Pharmaceuticals, Contract Research and Development Services, Proprietary Novel Drugs, Life Science Ingredients, Agri Products, Performance Polymers, Food Service (QSR), Food, Auto, Consulting in Aerospace and Oilfield Services. He has also served as a Member of the Executive Committee of the Federation of Indian Chamber of Commerce & Industry (FICCI) & Confederation of Indian Industry (CII) and, he is a part of BOD Bachelors in Commerce grad	None	Opted not to take sitting fees and commission	Opted not to take sitting fees and commission
2	Mr. Hari S. Bhartia	Co-Chairman & Director	over four decades of experience, Mr. Bhartia is a thought leader in his chosen areas of diverse businesses which include Pharmaceuticals, Contract Research and Development Services, Proprietary Novel Drugs, Life Science Ingredients, Agri Products, Performance Polymers, Food Service (QSR), Food, Auto, Consulting in Aerospace and Oilfield Services. Hari is a former President of the Confederation of Indian Industry (CII) (2010-2011) Hari is also a Founding Member of the Centre for Social and Economic Progress (CSEP) He is a regular participant at the World Economic Forum Annual Meeting in Davos and is a member of the World Economic Forum's International Business Council In April 2019, CBI searched the residence of Hari Bhartia for an alleged illegal construction, however the issue is of no worry because it was just a verification exercise to ascertain whether any allegation deserves an investigation or not. Hari Bhartia stepped down from the position of MD from Jubilant Pharmova. Btech grad	None	1.71	10.7
3	Mr. Sameer Khetarpal	Chief Executive Officer and Managing Director	He has served in numerous senior leadership roles during his 25+ years career in sectors like e-commerce, CPG (Consumer Packaged Goods) and management consulting. Sameer, with his strengths in building digital first businesses in related spaces will provide the necessary leadership to our business," said Shyam S. Bhartia, chairman and Hari S. Bhartia, co-chairman, Jubilant FoodWorks. Before joining JFL , Sameer worked at Amazon and scaled business like Amazon Fresh, Amazon Food and Amazon Pharmacy. He has a contract with the company to act as CEO and MD for 5 years, beginning from September 2022.	None	28.02	Appointed as CEO & MD w.e.f. September 5, 2022. . Moreover, his salary for FY203 is 28.02 (in millions) which is average salary of the other employees, so it means he is not taking too much salary
4	Mr. Shamit Bhartia	Non-Executive Director	Son of Shyam S. Bhartia He is on the Board of Hindustan Media Ventures Ltd. and HT Media Ltd., both of which operate in the Media sector Part of the board of Jubilant industries Ltd, which operates in chemical sector Bachelor's Degree in Economics	None	1.68	10.52

Management Analysis

S.no	Name	Designation	Profiling	Political Nexus	Remuneration during FY23 (in millions)	Ratio to median remuneration
5	Ms. Aashti Bhartia	Non-Executive Director	Daughter of Hari Bhartia Executive Director at Ogaan India Private Limited where she is working to expand the business across India Bachelor's degree in Anthropology and History from Columbia University, USA	None	1.57	9.83
6	Mr. Abhay Prabhakar Havaladar	Independent Director	Abhay is a Director of National Stock Exchange of India Ltd and IBS Software. Bachelor's degree in Electrical Engineering He has been investor since beginning.	None	1.93	12.05
7	Mr. Ashwani Windlass	Independent Director	He is a leading strategy, telecom and technology professional, having over four decades experience Former Vice Chairman & Managing Director for Reliance Communications Bcom grad and MBA	None	2.04	12.74
8	Mr. Berjis Minoos Desai	Independent Director	Law Graduate from Mumbai University and postgraduate in law from Cambridge University, U.K	He filed for trustee election in April 2021, and has been active in Parsi affairs since 1980 when CER swamped the Anjuman Committee elections and has been in the centre of many Parsi controversies since then	1.79	11.17
9	Ms. Deepa Misra Harris	Independent Director	master's degree from Lady Sri Ram College, Founder & CEO of Brands WeLove; Marketing and Branding Services proficient in Branding, Marketing, Sales and Public Relations. Self Promoting with her awards	None	2.14	13.37
10	Mr. Vikram Singh Mehta	Independent Director	B.A. (Mathematics Honors) degree from St. Stephens College, Delhi University, B.A./M.A. (Politics and Economics Honors) degree from Magdalen College, Oxford University and a Master's degree in Energy Economics Self Promoting with his awards started his career by joining the Indian Administrative Service in 1978 currently Chairman of the think tank CSEP (Centre for social and economic progress) Research Foundation Son of Jagat Singh Mehta, who retired as Foreign Secretary of India Former independent director of HT Media group Mehta was a classmate and friend of Imran Khan and Benazir Bhutto (two-time prime minister of Pakistan).	Mehta was a classmate and friend of Imran Khan and Benazir Bhutto (two-time prime minister of Pakistan) during his masters.	1.99	12.43
11	Mr. Amit Jain	Independent Director	Holds Masters in Business Administration and completed an Advanced Management Program lead businesses across FMCG, Entertainment, Media and Beauty sectors. co-founder of Viacom18 and subsequently headed Viacom Asia.	None	Appointed in July,2023 so that's why salary not mentioed	Appointed in July,2023 so that's why salary not mentioned

Management Analysis

S.no.	Name	Designation	Profiling	Political Nexus	Remuneration during FY23 (in millions)
12	Mr. Ashish Goenka	President & Chief Financial Officer	MBA from IIFT, Delhi In his career of over 20 years, he has been a part of Airtel and Hindustan Unilever (Consumer goods company)	None	36.33
13	Mr. Sameer Batra	President and Chief Business Officer, Domino's India	excels in building businesses within the consumer sector and leading large distributed teams. MBA degree in Marketing held prominent leadership positions at Amazon India where he led Prime Video Marketplace and Bharti Airtel, where he led Airtel's Digital business as CEO & was India CEO for Airtel's Broadband business as well	None	1.6
14	Mr. Avinash Kant Kumar	President, Integrated Supply Chain, Hong's Kitchen and CSR Head	held positions at P&G, Reliance Retail, Coca Cola and AI Foah Co and McCain Foods, this indicates he has experience of handling FMCG business PGDIE from NITIE and B. Tech Experienced across various areas of supply chain In the past, he has also ventured into entrepreneurship with his own company, Focusale (FMCG Company)	None	34.61
15	Mr. Gaurav Pande	Executive Vice President and Business Head, Popeyes	previously worked with organizations like Unilever and Infosys PGDBM in Marketing from XLRI Jamshedpur and a B. Tech. in Electrical Engineering 20 years of expertise in building brands and businesses.	None	25.37
16	Ms. Deepti Gupta	Executive Vice President, Human Resource and Administration	PGDM in HR 18 years in the field of human resources significant contributions organizations such as Info Edge, Airtel, and Mercer.	None	18.34
17	Mr. Vaneet Singla	Executive Vice President and Chief Product Officer	BA from FMS Delhi and a B.Tech (Hons) several notable innovations and contributions at WheelsEye, Practo, Hubzu, MakeMyTrip, SpiceLabs and Reckitt Benckiser. proven domain expertise in product and business management roles	None	25.27
18	Mr. Chitrang Goel	Executive Vice President and Business Head, Dunkin	holds an MBA 19 years of experience in sales, marketing and category development roles, spent large part of his career in Food and Beverage space. Worked at Unilever	None	17.59
19	Mr. Sandeep Anand	Executive Vice President and Chief Marketing Officer, Domino's India	PGDM in Marketing 19 years of expertise in FMCG/CPG, FoodTech, and Consumer Health marketing has worked with renowned companies such as Zydus Wellness, Zomato, GSK Consumer Healthcare, Reckitt Benckiser, and Ranbaxy.	None	21.47
20	Mr. Pawan Kumar	Executive Vice President and Chief Technology Officer	MCA degree in Computer Science worked at companies like Monster India, Yatra, Navastart Information Services Pvt Ltd, Allainet India Ltd, and Simson Computers Ltd	None	20.44

Management Analysis

S.no.	Name	Designation	Profiling	Political Nexus	Remuneration during FY23 (in millions)
21	Mr. Vibhor Gupta	Senior Vice President and Head of Operations, Domino's India	PGDM degree worked as a Management Consultant with Bain (advise leaders on strategy, marketing, organization, operations) held several leadership positions at Airtel – starting from Head of Strategy, COO for UP West and finally CEO for Airtel Mumbai business	None	Appointed in August 17,2023 so that's why salary not mentioned
22	Mr. Rahul Bharde	Senior Vice President, Analytics and Insights	M.Tech degree in Industrial Engineering and Operations research from IIT Bombay. 18-year career, he has held leadership roles at Ascena Retail Group, dunhumby, and MarketRx(a Cognizant company), where he led client engagements, established analytics and innovation centers Self Promoting with his awards	None	10.77
23	Mr. Sanjay Mohta	Vice President, International Business	PGDM in Marketing holding key positions at renowned companies like Nestle and Tata Consumer Products Limited, he showcases exceptional skills in sales, marketing, and general management delivered consistent results across fast-growing Asian economies, including India, Bangladesh, Sri Lanka, and Pakistan	None	12.49
24	Mr. Narottam Sharma	Vice President and Chief Information Officer	MBA degree in IT & Strategy 25-year career, he has made significant contributions to renowned corporations, including Mastek, Sterlite Technologies, Samsung, Aviva, Royal Bank of Scotland, and Bank of America emphasize on "consumer products mind-set"	None	Appointed in May 2,2023 so that's why salary not mentioned

Commentary

- The company has strong management with a significant amount of experience. Most of them hold an MBA postgraduate degree.
- Further, the independent director holds expertise in areas such as branding, marketing, sales , law field etc. Though they do not seem to have much experience in QSR industry, but QSR is that type of industry which is easy to run. Moreover, since they have experience in marketing and all, which further shows that company has the potential to attract customer base.
- Basis on analysis of publicly available data, we do not find any prominent political connections of independent directors and management. Further, we do not find any conflict of interest of independent directors with the company.
- The current CEO & MD of the company, Mr. Sameer Khetarpal has joined the company recently in 2022 & has 25+ years of experience in ecommerce, CPG & management consulting. Other members too were hired basis their technical expertise.
- As reported, Company has not entered any materially significant transactions with the related parties viz. promoters, directors, their relatives or the management, subsidiaries and so on, that may have potential conflict with the interests of the Company at large.

Shareholding Pattern

The company has most of its shareholding, i.e., 57.66% with institution and public as of December 2023. Promoters are holding 41.94% , FIs are holding 27.75%, DIs are holding 21.94% and the public are holding 7.97%. The promoter holding has been constant at 41.94% since December 2021 and pledged holding that was hovering around 1.7% from December 2021 to March 2023 has now reduced to 0.79% . Therefore, promoters holding and pledging are in line.

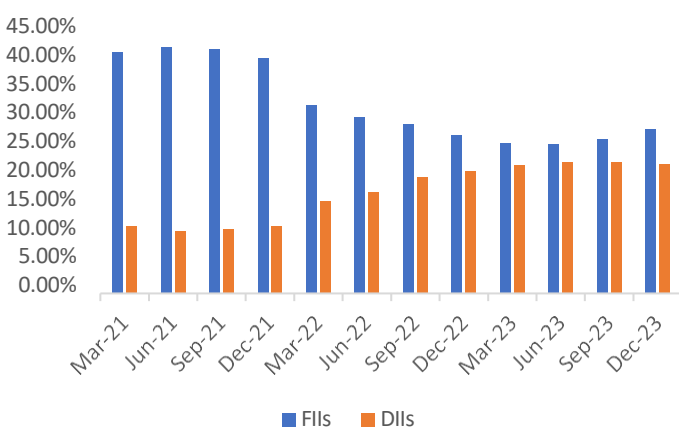
	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23	Dec-23
Promoters	44.96%	44.94%	41.94%	41.94%	41.94%	41.94%	41.94%	41.94%
FIs	28.85%	36.94%	38.82%	30.94%	40.87%	31.87%	25.38%	27.75%
DIs	13.34%	9.06%	9.99%	20.65%	11.36%	15.59%	21.66%	21.94%
Government	0.00%	0.11%	0.30%	0.41%	0.32%	0.13%	0.20%	0.20%
Public	12.85%	8.60%	8.73%	5.88%	5.34%	10.22%	10.63%	7.97%
Others	0.00%	0.35%	0.21%	0.19%	0.17%	0.25%	0.18%	0.21%

Source – Screener

	Mar-21	Jun-21	Sep-21	Dec-21	Mar-22	Jun-22	Sep-22	Dec-22	Mar-23	Jun-23	Sep-23	Dec-23
Promoters	41.94%	41.94%	41.94%	41.94%	41.94%	41.94%	41.94%	41.94%	41.94%	41.94%	41.94%	41.94%
FIs	40.87%	41.72%	41.41%	39.77%	31.87%	29.80%	28.66%	26.77%	25.38%	25.22%	26.14%	27.75%
DIs	11.36%	10.63%	10.86%	11.37%	15.59%	17.20%	19.74%	20.70%	21.66%	22.33%	22.16%	21.94%
Government	0.32%	0.14%	0.13%	0.13%	0.13%	0.14%	0.20%	0.20%	0.20%	0.20%	0.20%	0.20%
Public	5.34%	5.37%	5.45%	6.60%	10.22%	10.71%	9.28%	10.23%	10.63%	10.14%	9.36%	7.97%
Others	0.17%	0.21%	0.21%	0.19%	0.25%	0.21%	0.18%	0.18%	0.18%	0.18%	0.21%	0.21%

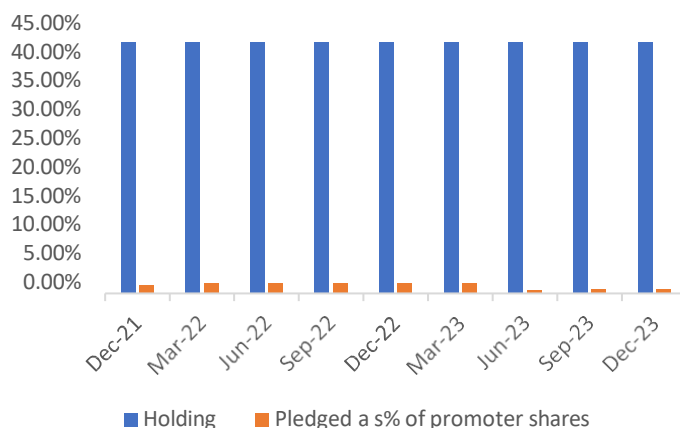
Source – Screener

FII vs DII Holding



Source – Trendlyne

Quarterly Promoter Holding Vs Pledge



Source –Trendlyne

Management Remuneration : Commentary

IN FY23, the company has incurred managerial remuneration of INR 317.12 as against INR 148.14 million in FY22 (114% increase on YoY basis). The details of such remuneration are as below:

	Designation	Ratio of Remuneration to median remuneration	FY22	FY23	Growth in Sales Remuneration	Growth YoY%	Net Profit Growth YoY%
Sameer Khetarpal	CEO & MD Former CEO	NA	-	28.02	-	17.34%	-15.56%
Pratik R. Pota	& MD	NA	92.78	237.4	155.87%	17.34%	-15.56%
Ashish Goenka	EVP & CFO	-	30.16	36.33	20.46%	17.34%	-15.56%
Mona Aggarwal	CS	-	25.2	15.37	-39.01%	17.34%	-15.56%
Total		14	8.14	317.12	114%	17.34%	-15.56%

In FY23, total remuneration of KMP & Directors was 0.64% and the remuneration of KMP was 0.62% of the total sales, which was reasonable compared to peers. Devyani International, Westlife Development and Barbeque Nation Hospitality are paying their CEO and executive directors way more than Industry standards and when compared to Jubilant then it is too high around more than 100x.

Basis on my analysis, revenue and remuneration have a significant variation, the are not aligned properly. Revenue grew at 11.32% CAGR in past 5 years and 9.51% CAGR in last 3 years whereas remuneration grew at 53.73% CAGR in past 5 years and 76.58% CAGR in past 3 years. In FY23, sales grew by 17.33% and profit reduced by 15.56%.

INR Million	FY19	FY20	FY21	FY22	FY23
Remuneration Of KMP	44.09	52.51	140.62	148.14	289.1
Sales	3,563	3,927	3,312	4,396	5,158
Sales Growth	18.05%	10.22%	-15.67%	32.74%	17.34%
Remuneration Growth in KMP	78.74%	22.17%	233.98%	93.40%	-18.59%

Board Efficiency

Basis on our research, BOD has adequate representation of independent directors, industry experts, finance and legal experts as required by statue. All the board members and management has attended all the meetings held during their tenure. The efficiency of BOD can be gauged with their contribution in various meetings held in FY23. The details are as under:

Name, Designation	Exc/Non - exc/ Independent	Held	Attended	Attendance as last AGM
Shyam S. Bhartia, Chairman	Promoter Directors (Non-Executive Non-Independent)	4	4	Yes
Hari S. Bhartia, Co-Chairman	Promoter Directors (Non-Executive Non-Independent)	4	4	No
Pratik R. Pota, CEO and Whole time Director	Executive Directors	1	1	NA
Sameer Khetarpal CEO and Managing Director	Executive Directors	2	2	NA
Aashti Bhartia	Non-Executive Directors	4	4	No
Shamit Bhartia	Non-Executive Directors	4	4	Yes
Abhay P. Havaladar	Non-Executive Independent Directors	4	4	No
Ashwani Windlass	Non-Executive Independent Directors	4	4	Yes
Berjis M. Desai	Non-Executive Independent Directors	4	4	Yes
Deepa M. Harris	Non-Executive Independent Directors	4	4	Yes
Vikram S. Mehta	Non-Executive Independent Directors	4	4	Yes

Quarterly Snapshot

Particulars (INR crores)	Sep-21	Dec-21	Mar-22	Jun-22	Sep-22	Dec-22	Mar-23	Jun-23	Sep-23	Dec-23	Marc-24E
Sales	1,116	1,211	1,176	1,255	1,301	1,332	1,270	1,335	1,369	1,378	1294
% Growth YOY					17%	10%	8%	6%	5%	3%	2%
EBITDA	287	317	274	293	312	286	218	235	277	280	268
% Growth YOY		10%	-14%	7%	7%	-8%	-24%	8%	18%	1%	-4%
% Margins		26%	23%	23%	24%	21%	17%	18%	20%	20%	21%
Other Income	8	11	12	11	27	10	20	9	42	20	5
Depreciation	93	103	106	107	115	133	132	136	142	152	154
Interest	42	45	46	47	50	52	53	54	57	62	56
Profit before tax	161	179	134	149	175	111	53	54	121	86	64
PBT Margin	14%	15%	11%	12%	13%	8%	4%	4%	9%	6%	5%
% Growth YOY					9%	-38%	-60%	-64%	-31%	-23%	20%
Tax	41	46	38	37	43	31	25	25	23	20	19
Net profit	120	134	97	113	132	80	29	29	97	66	45
% Growth YOY					9%	-40%	-71%	-74%	-26%	-18%	58%

Annual Snapshot

Particulars (INR crores)	FY19	FY20	FY21	FY22	FY23	FY24E	FY25E
Sales	3,563	3,927	3,312	4,396	5,158	5377	6685
% Growth YOY	18%	10%	-16%	33%	17%	4%	24%
EBITDA	603	883	780	1,106	1,136	1238	1506
EBITDA Growth YoY	36%	46%	-12%	42%	3%	9%	22%
EBITDA Margins	17%	22%	24%	25%	22%	23%	23%
Depreciation	157	352	375	393	486	574	640
EBIT	445	530	405	713	650	664	866
Interest	-	165	163	176	201	212	226
Other Income	45	38	64	26	40	53	75
Profit before tax (PBT)	490	403	306	563	489	504	715
% Growth YOY	62%	-18%	-24%	84%	-13%	3%	42%
Tax	172	124	76	145	136	131	185
Actual Tax Rate	35.1%	30.8%	24.7%	25.8%	27.8%	25.8%	25.8%
Net profit	318	279	231	418	353	374	530

Jubilant FoodWorks



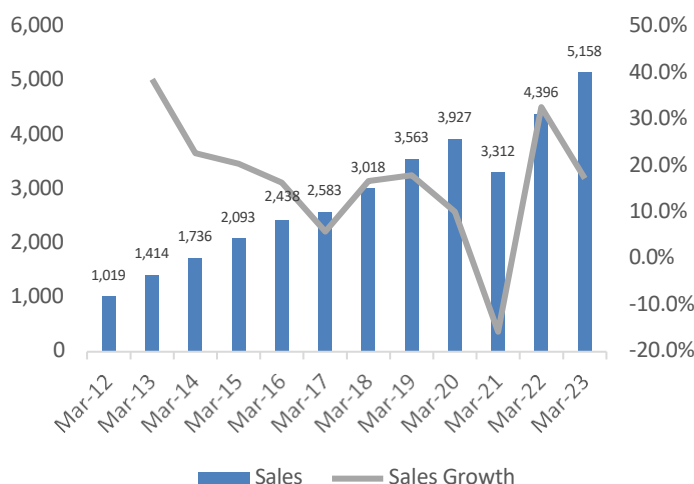
Commentary

Revenue

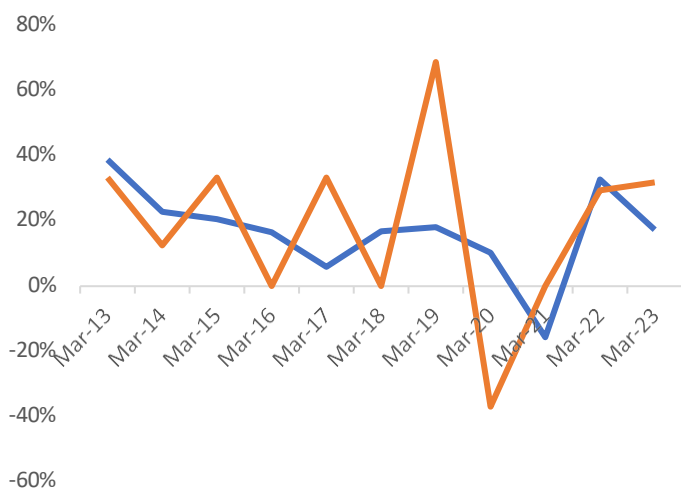
The company has posted a sales growth of 17.3% in FY23 as compared to 32.7% in FY22. Revenue 5 years CAGR stands at 11.3% whereas 3-year CAGR stands at 9.5%. The reasons behind this are macro-economic conditions such as the rise in inflation, less spending by consumers. Though, the management saw growth during the festive season and world cup, but it was not as much as the management expected. The company in Q3 posted a growth of 3%.

The growth in dine in segment remained muted. The delivery segment saw an uptick. Additionally, the LFL growth continued to decline. In Q3, it came out at -2.9%. However, despite declining sales, LFL, dine-in segment, management is still planning to expand stores and is focusing on its target of opening 200 stores in FY24. The management believes that the dine-in segment in coming years is going to boom and for that they are planning well in advance so that they remain ahead of their peers at that time.

Sales vs Sales Growth



Revenue Growth YoY% Receivables Growth YoY%



Trade Receivables

The company has maintained a consistent receivable policy. The growth of receivables is in line with revenue. In last 4 years, company's revenue has grown significantly and it can be seen that company's revenue almost get doubled after 5 years with receivable days being the same. Moreover, the company has an average receivable turnover ratio of 183.5x.

Basis on our research, we noticed that its peers' median receivable days are 3 which is higher than the company's receivable days. This further indicates that the company is performing better as compared to its peers in terms of receivables days.

Moreover, we noticed that more than 90% of company's trade receivables is due for less than 6 months which means the receivables is not at a significant risk of impairment.

Particulars	Mar-12	Mar-13	Mar-14	Mar-15	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23
Revenue	1,019	1,414	1,736	2,093	2,438	2,583	3,018	3,563	3,927	3,312	4,396	5,158
Revenue Growth YoY%		39%	23%	21%	16%	6%	17%	18%	10%	-16%	33%	17%
Receivables	6	8	9	12	12	16	16	27	17	17	22	29
Receivables Growth YoY%		33%	13%	33%	0%	33%	0%	69%	-37%	0%	29%	32%
Receivable Days	2	2	2	2	2	2	2	3	2	2	2	2

Jubilant FoodWorks



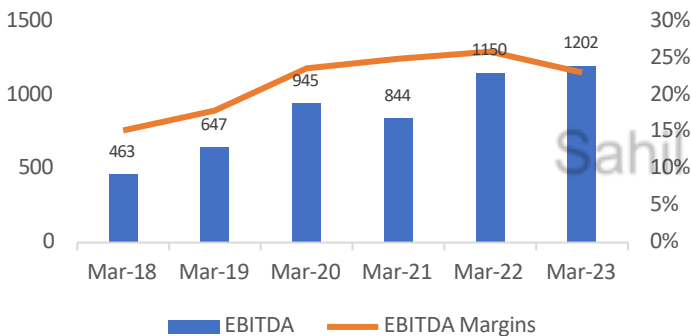
Commentary

Inventory

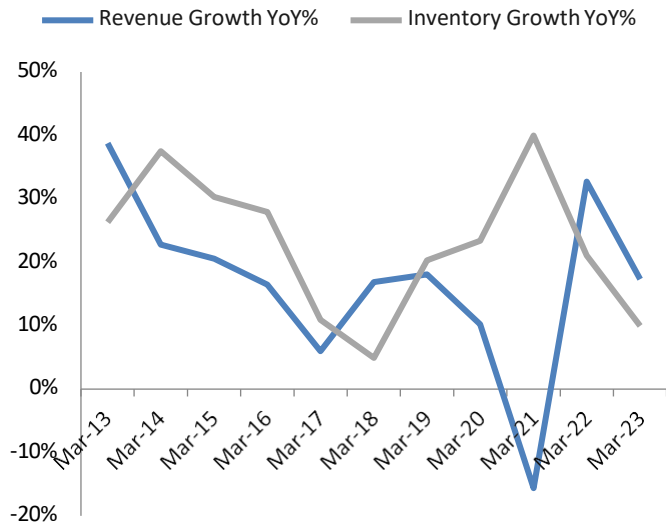
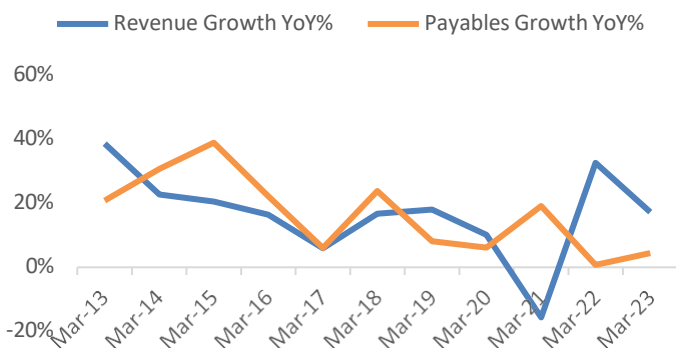
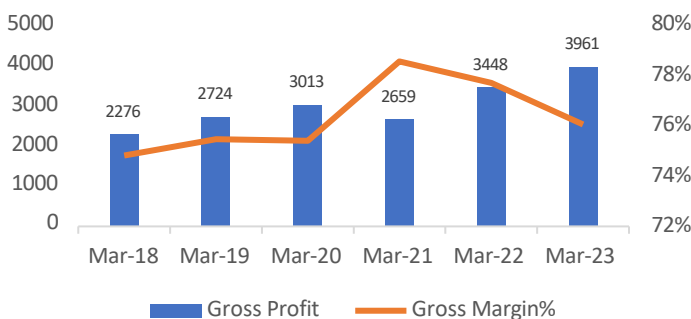
The company has maintained consistent inventory levels i.e. when revenues have increased, company's inventory levels has also increased. Moreover, the company's inventory days have been increasing from past 3 years which means company has enough stock in hand to meet out the consumer needs at the present.

Basis on our research, we noticed that its peers median inventory days are 38 which is lower than the company's inventory days. This further indicates that the company is performing better as compared to its peers in terms of inventory days.

EBITDA & EBITDA Margins



Gross Profit & Gross Margins



Margins

The company's EBITDA has grown by 52 bps from FY22 to FY23. In Q3, EBITDA margins remain muted at 20%. Management expects that the biggest unlock for EBITDA margin will be the unlocking of LFL growth and further expects that Domino's LFL could generate around 5-6% in the near future. On the other hand, in Q3, led by Project Vijay, gross margins improved by 118 bps. Overall, the reason behind the margins being muted is inflation in raw material, though it has stabilized this quarter but not that much that margins could improve.

Trade Payables

The company's payable days aligns with the revenue. However, in past 2 years when company's sales have decreased, payables growth have increased.

Basis on our research, we found that company has payable days of 140 which is more in comparison to its peers. This is a positive sign which further indicates that company is efficient in its cash conversion cycle and has more cash in hand at some times as and when compared to its peers.

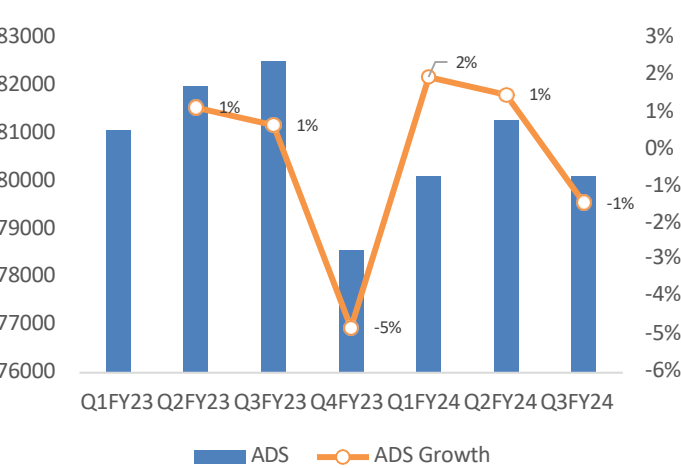
Additionally, we noticed that more than 80% of company's trade payables is due for less than 12 months which means the payables is not at a significant risk of impairment.

Jubilant FoodWorks



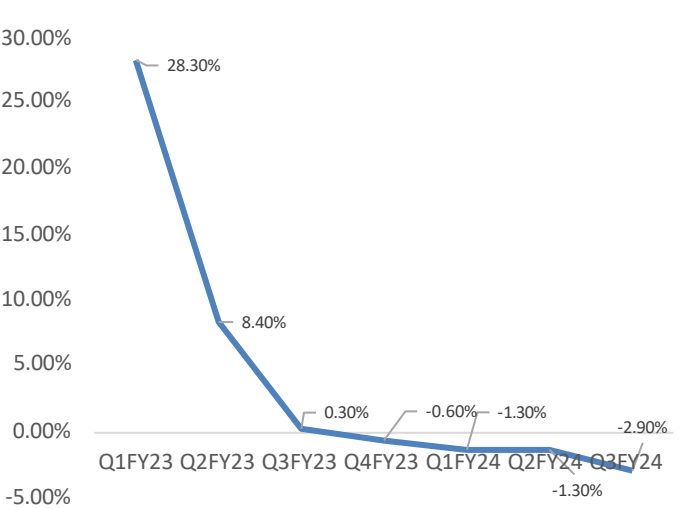
Key metrics of Jubilant Foodworks

ADS vs ADS Growth



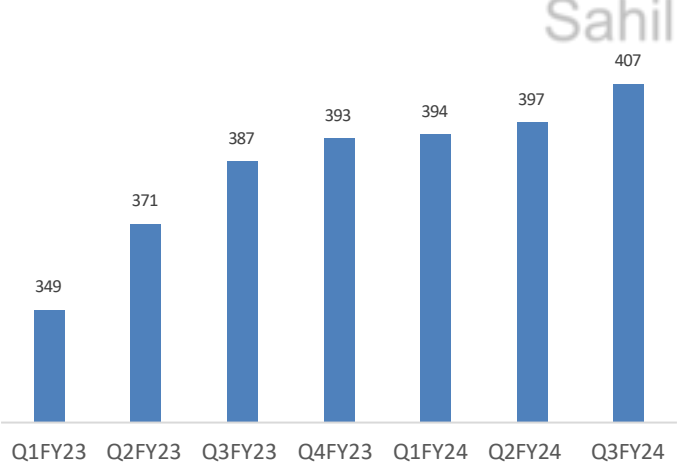
Source – JFL IP

Domino's LFL Growth



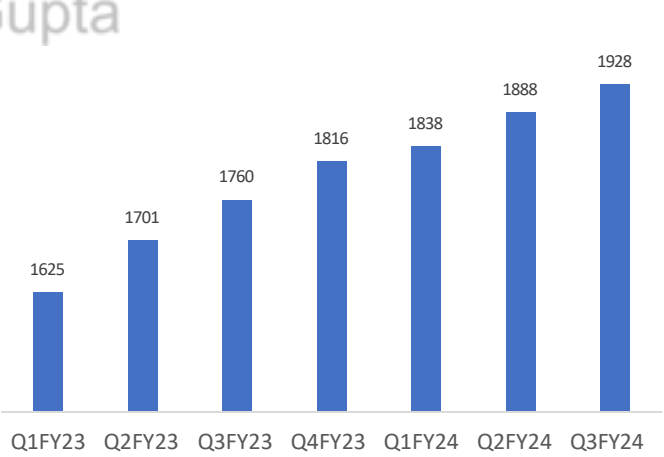
Source – JFL IP

City Covergae



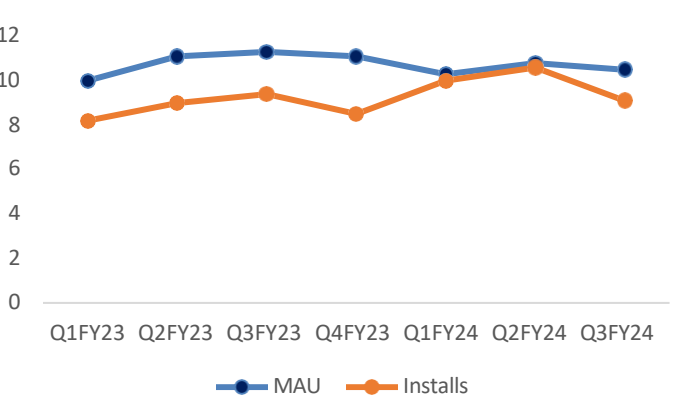
Source – JFL IP

Store Count



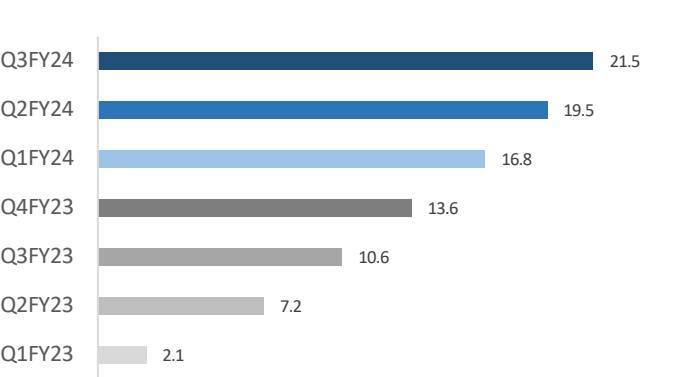
Source – JFL IP

Installs vs MAU (in mn)



Source – JFL IP

Cheesy Reward Cumulative Membership



Source – JFL IP

Jubilant FoodWorks



Ratio Analysis

Profitability Ratios	Mar-21	Mar-22	Mar-23
Sales Growth	-15.7%	32.7%	17.3%
Expenses Growth	-16.8%	30.1%	22.3%
Gross Profit Growth	-12.2%	31.7%	14.8%
EBITDA Growth	-11.6%	41.8%	2.7%
Net Profit Growth	-17.3%	81.4%	-15.6%
Efficiency Ratios			
Debtor Turnover	197.14x	199.37x	179.54x
Inventory Turnover	24.88x	27.27x	29.14x
Net Fixed Asset Turnover	-97.41x	38.23x	14.09x
Sales/Capital Employed	1.09x	1.09x	1.12x
Leverage Ratios			
Debt/Capital	0.53	0.52	0.56
CFO/Debt	46.3%	44.2%	40.2%
Interest Coverage (Times)	2.48x	4.05x	3.23x
Capital Allocation Ratios			
Return on Capital Employed	15.4%	18.3%	15.0%
EBIT Margins	12.2%	16.2%	12.6%
Return on Invested Capital	9.2%	12.0%	8.1%
Cash Ratios			
Operating Cash Flow Growth	3.1%	23.9%	10.3%
Free Cash Flow Growth	-4.2%	43.1%	34.5%
FCF/Sales	29%	32%	36%
CFO/Total Assets	20%	19%	19%
CFO/EBITDA	96%	84%	90%
Other			
Dep%Sales	11.3%	8.9%	9.4%
Debtor/Sales	0.5%	0.5%	0.6%

Commentary

- Jubilant's fixed asset turnover ratio on median basis is around 3.2x but Y-o-Y it has dropped from 38.2x in FY22 to 14.1x in FY23 that is almost like half times then previous year. This shows that there was less demand of jubilant's products in the market and another reason behind it could be inflationary environment as well. Additionally, though the fixed asset turnover ratio has declined but still Jubilant seems to be performing well in comparison to its peers over the years.
- Jubilant's depreciation% sales is about 5% over the years which means that company covers 5% of depreciation expenses through its sales. Moreover, this is in align with its peers. However, since the company is increasing its fixed assets, it is expected that company may generate more revenue in coming years which in turn may lead to increase in Dep% Sales..
- Basis on our research, it has been observed that though sales growth has been less in FY23 but Debtor to Sales is properly aligned from past 9 years and debtor days of 2 as of now maybe Saturday's and Sunday's.
- CFO/EBITDA has also been around 85% to 90% from past 9 years, which is far better than its peers, depicts that jubilant has been effectively converting its operating cash profit into cash flows.
- Basis on our research, we have found that Jubilant has an interest coverage ratio of 3.2x which is far better than its peers. Moreover, jubilant does not have any significant borrowings as of now and also the interest component which it has is more on the land taken on lease which is justifiable.
- ROIC of the company has gone down from 12% in FY22 to 8% in FY23. The reason behind this is decrease in sales due to muted demand of pizzas. Moreover, the dine-in sales is also not growing. Therefore, the new stores that the company is opening is not generating the returns that were expected.

Jubilant FoodWorks



Dupont Analysis

ROE - DUPONT EQUATION

	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23
NET PROFIT	318.0	278.8	230.5	418.1	353.0
REVENUE	3563.1	3927.3	3311.9	4396.1	5158.3
NET PROFIT MARGIN (A)	8.9%	7.1%	7.0%	9.5%	6.8%

REVENUE	3563.1	3927.3	3311.9	4396.1	5158.3
AVERAGE TOTAL ASSETS	1676.2	2612.8	3568.3	4274.2	5081.9
ASSET TURNOVER RATIO (B)	2.1x	1.5x	0.9x	1.0x	1.0x

AVERAGE TOTAL ASSETS	1676.2	2612.8	3568.3	4274.2	5081.9
AVERAGE SHAREHOLDERS EQUITY	1113.7	1190.8	1274.4	1685.9	1991.4
EQUITY MULTIPLIER (C)	1.5x	2.2x	2.8x	2.5x	2.6x

RETURN ON EQUITY (A*B*C)	28.6%	23.4%	18.1%	24.8%	17.7%
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ROA - DUPONT EQUATION

	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23
NET PROFIT	318.0	278.8	230.5	418.1	353.0
REVENUE	3563.1	3927.3	3311.9	4396.1	5158.3
NET PROFIT MARGIN (A)	8.9%	7.1%	7.0%	9.5%	6.8%

REVENUE	3563.1	3927.3	3311.9	4396.1	5158.3
AVERAGE TOTAL ASSETS	1676.2	2612.8	3568.3	4274.2	5081.9
ASSET TURNOVER RATIO (B)	2.1x	1.5x	0.9x	1.0x	1.0x

RETURN ON ASSET (A*B)	19.0%	10.7%	6.5%	9.8%	6.9%
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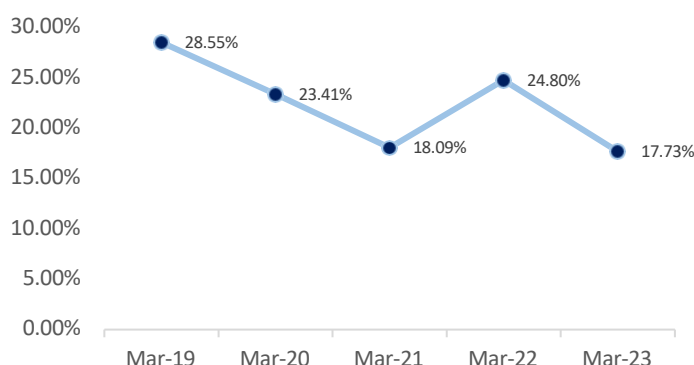
ROCE - DUPONT EQUATION

	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23
NOPAT	289.1	367.2	304.7	529.5	469.6
REVENUE	3563.1	3927.3	3311.9	4396.1	5158.3
NOPAT MARGIN (A)	8.1%	9.3%	9.2%	12.0%	9.1%

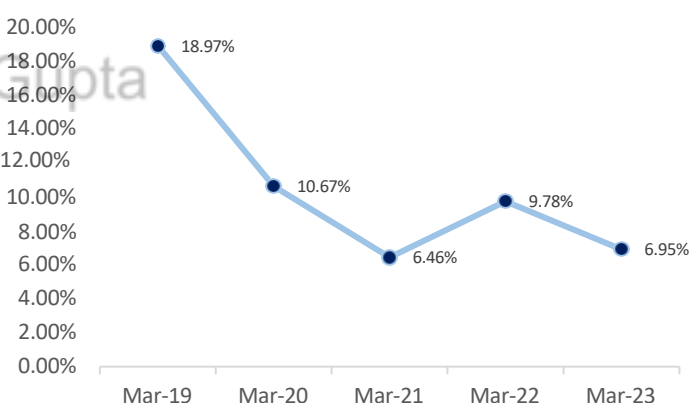
REVENUE	3563.1	3927.3	3311.9	4396.1	5158.3
AVERAGE CAPITAL EMPLOYED	776.2	1672.3	2391.5	2803.9	3781.9
CAPITAL TURNOVER RATIO (B)	4.6x	2.3x	1.4x	1.6x	1.4x

RETURN ON Capital Employed (A*B)	37.2%	22.0%	12.7%	18.9%	12.4%
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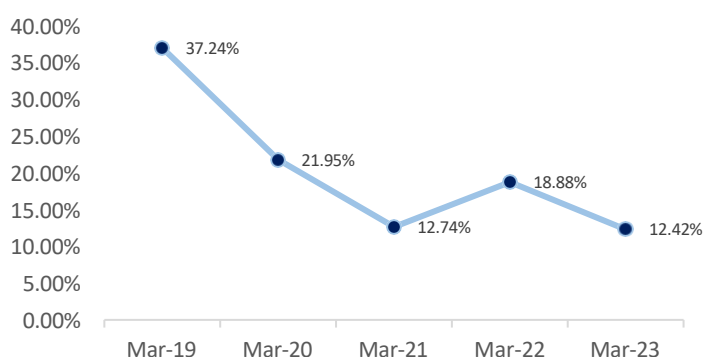
RETURN ON EQUITY



RETURN ON ASSET



RETURN ON Capital Employed



Jubilant FoodWorks

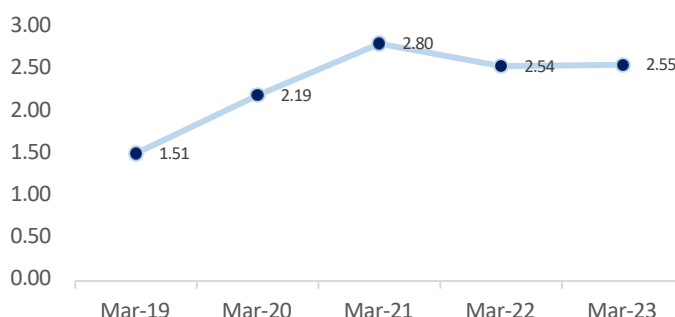


Dupont Analysis Commentary

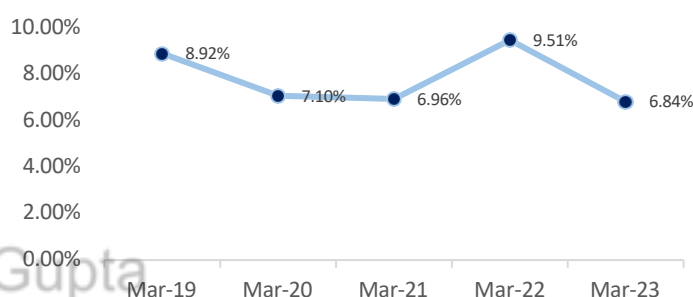
- Jubilant Foodworks ROE has significantly decreased from the post covid period. Pre covid ROE stood at 28.55% and in FY23 ROE is at 17.73% . Moreover, as and when compared to previous year ROE which stood at 24.80% it has dropped down to 17.73% in FY23, the reason behind this is inflationary pressure, thereby less spending by consumers.
- The company's asset efficiency has increased from 0.93x in FY21 to 1.02x in FY23. ROA has decreased significantly over the past 5 years. The reason behind this is the decrease in net profit margin. The net profit margins are declining due to increased prices of raw materials and strong competition from other players in the market.
- ROCE of the company has declined significantly over the past 5 years. It came down from 37.42% in FY19 to 12.42% in FY23. The reason behind this decrease in ROCE is because of the declining Capital turnover ratio. The Capital turnover ratio is declining due to muted demand of pizzas from which the company generates its maximum of the revenue.

Source – Company analysis

EQUITY MULTIPLIER



NET PROFIT MARGIN



Source – Screener

ROIIC Profiling

Rs Cr	Mar-14	Mar-15	Mar-16	Mar-17	Mar-18	Mar-19	Mar-20	Mar-21	Mar-22	Mar-23
Net Income	118.3	111.1	96.9	57.8	196.2	318.0	278.8	230.5	418.1	353.0
Capital Employed	525.8	607.3	728.8	769.9	838.7	765.4	2,136.2	2,507.6	3,487.7	4,334.6

ROIIC Profiling	Rolling 10Y	Rolling 9Y	Rolling 8Y	Rolling 7Y	Rolling 6Y	Rolling 5Y	Rolling 4Y	Rolling 3Y	Rolling 2Y
Cumulative Net Income	2,178.6	2,060.4	1,949.3	1,852.4	1,794.6	1,598.4	1,280.4	1,001.6	771.1
Incremental Capital Deployed	3,808.79	3,727.34	3,605.79	3,564.71	3,495.92	3,569.25	2,198.41	1,826.99	846.91
Reinvestment Rate	174.83%	180.91%	184.98%	192.44%	194.80%	223.30%	171.69%	182.40%	109.83%
ROIIC	6.16%	6.49%	7.10%	8.28%	4.49%	0.98%	3.38%	6.71%	-7.68%
Intrinsic Compounding Rate	10.78%	11.74%	13.14%	15.94%	8.74%	2.19%	5.80%	12.23%	-8.44%
Stock Price (10 Year CAGR)	15.35%								
Stock Price (5 Year CAGR)	13.60%								

Source – Screener

Basis on our research, we found that company's reinvestment rate has been more than 150% in last 10 years and ROIIC has been around almost 6-7% which depicts that company has been utilizing its additional capital in an effective manner. Additionally, over the last few years we have noticed that company is on an aggressive capex cycle. Jubilant's Bangalore commisionary has started its operations and even the work for setting up of Mumbai commisionary has begun.

Source – Company analysis

Relative Valuation & Outlook

Company Name	Market Cap [Rs Cr.]	Total Debt	Cash	EV	Sales	EV/EBITDA	EV/EBIT	EV/Sales
Jubilant Foodworks	34,674.8	2,607.9	256.9	37,025.8	5,158.3	33.4x	68.0x	
Devyani International Ltd	21,964.7	1,683.2	85.1	23,562.8	2,997.7	34.4x	63.7x	
Westlife Foodworld Ltd	12,829.6	1,264.9	28.4	14,066.2	2,278.2	34.1x	56.9x	
Sapphire Foods	9,366.8	1,069.8	220.4	10,216.2	2,265.6	20.8x	51.9x	
Restaurant Brands Asia Ltd	5,869.5	1,198.9	155.2	6,913.2	2,054.3	32.1x	71.2x	
Barbeque-Nation Hospitality	2,473.5	711.3	42.6	3,142.2	1,233.8	15.3x	65.4x	
Narrow Set - Low	2,473.5	711.3	28.4	3,142.2	1,233.8	15.3x	51.9x	
Narrow Set - 25th percentile	6,743.8	1,102.0	53.2	7,738.9	2,107.1	23.7	58.6	
Narrow Set - Average	14,529.8	1,422.7	131.4	15,821.0	2,664.6	28.4x	62.8x	
Narrow Set - Median	11,098.2	1,231.9	120.2	12,141.2	2,271.9	32.8x	64.5x	
Narrow Set - 75th percentile	19,681.0	1,578.6	204.1	21,188.6	2,817.8	33.9	67.3	
Narrow Set - High	34,674.8	2,607.9	256.9	37,025.8	5,158.3	34.4x	71.2x	

Jubilant currently has the largest market share in the QSR segment with an exclusive franchisee right of Domino's. Moreover, it's continuous and rapid expansion of its stores enables it to tap the growing demand. To further fortify its market position, the company has expanded its offerings under its brands: Popeyes, Dunkin and Hong's Kitchen.

The company operates through a unique commissionary model which provides it a distinct competitive advantage. As JFL has the highest number of stores in the industry, it enables them to purchase the raw materials at much cheaper rates than its competitors due to which it has significantly better margins than its peers.

However, despite all the positive points, the company has seen muted demand and its LFL growth has also declined to -2.9% in Q3FY24. The sales that management was expecting during the world cup, it did not come up to their expectations. Moreover, dine-in sales of the company has also been deteriorating from past few quarters. However, management is confident enough that in coming years it would pick up and to capture that demand first, they are opening more and more stores.

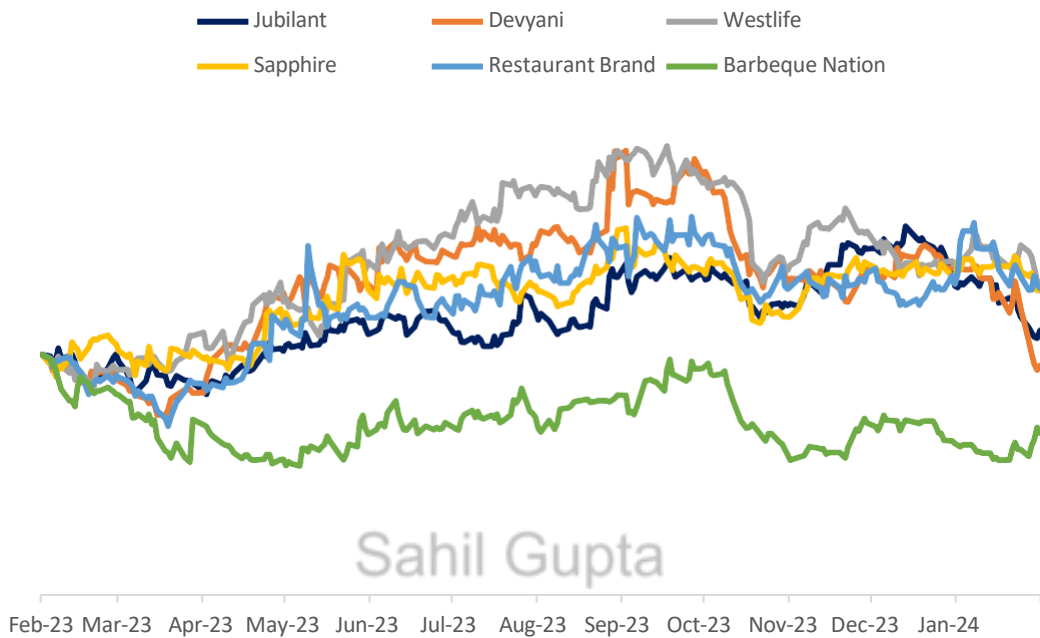
	EV/EBIT	EV/Sales
Narrow - Median	64.5x	
Target EBIT	128	
Target Sales	1378	
Target Relative Pricing - Narrow	8259.20	73

At present, Jubilant has been receiving a significant portion of its profits from only Domino's division. Though it has other divisions as well but growth in those divisions is yet to be seen. The QSR industry is currently facing a strict competition from players in the organized market as well as unorganized market. Therefore, to sustain in this market and maintain its market share jubilant must be efficient with its growing strategy.

Based on relative pricing, jubilant seems to be a bit overvalued, because it's EV/EBITDA, EV/EBIT and EV/Sales are more than the industry median and additionally the weakness that has been pointed out above informs us to be cautious.

Peer Analysis

1 Year Stock Performance - Indexed



Peers Financial Performance

Name	CMP	Mkt cap (Inr crs)	P/E	P/B	PEG	EV/EBITDA	EV/EBIT
Jubilant Foodworks	482.05	31807.84	144.34	15.24	11.27	31.15	63.45
Devyani International	154.25	18600.37	133.99	17.96	2.5	30.94	63.92
Westlife Food	782	12194.21	137.74	21.65	1.63	33.42	58.8
Sapphire Foods	1379.45	8785.69	47.39	6.7	0.88	19.72	53.65
Restaurant Brands	113.75	5646.09	-	7.69	-	31.05	-68.81
Barbeque Nation	649.55	2537.84	-	6.63	-	15.29	64.57

Source – Screener

Analyst Coverage Universe

S. No.	Date	Research House	Rating	Price at RECO
1	1-Feb-24	Motilal Oswal	Neutral	501.9
2	1-Nov-23	Geojit BNP Paribas	Hold	498.75
3	26-Oct-23	HDFC Securities	Accumulate	528
4	25-Oct-23	Prabhudas Lilladhar	Hold	529.1
5	13-Sep-23	HDFC Securities	Accumulate	518.55
6	4-Aug-23	Geojit BNP Paribas	Buy	517.15
7	27-Jul-23	Bonanza	Economy Update	470.8
8	26-Jul-23	HDFC Securities	Accumulate	467.95
9	26-Jul-23	ICICI Securities Limited	Buy	476.65
10	25-Jul-23	Prabhudas Lilladhar	Hold	476.65
11	20-May-23	Bonanza	Economy Update	468.7
12	19-May-23	ICICI Securities Limited	Buy	468.7
13	18-May-23	HDFC Securities	Accumulate	474.7
14	18-May-23	ICICI Securities Limited	Buy	474.7
15	17-May-23	Prabhudas Lilladhar	Accumulate	481.1
16	17-May-23	Motilal Oswal	Buy	481.1
17	7-Mar-23	ICICI Securities Limited	Buy	447.1
18	12-Feb-23	ICICI Securities Limited	Buy	460.35
19	9-Feb-23	Geojit BNP Paribas	Buy	457.9

Source –Trendlyne

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